

and also of updating accounts receivable and inventory subsidiary records. Permit the use of a perpetual inventory system even in a business selling a high volume of merchandise.

Single-step income statement An income statement in which the cost of goods sold and all expenses are combined and deducted from total revenue in a single step.

Subsidiary ledger A ledger containing separate accounts for each of the items comprising the balance of a controlling account in the general ledger. The total of the account balances in a subsidiary ledger is equal to the balance in the general ledger controlling account.

Working capital Current assets minus current liabilities. A measure of short-run debt-paying ability.

DEMONSTRATION PROBLEM FOR YOUR REVIEW

Texas Wholesale Corporation sold 100 pairs of boots to Boot Hill, a chain of retail stores. The sales price was \$5,000 (\$50 per pair), with terms of 2/10, n/30. United Express charged \$162 to deliver this merchandise to Boot Hill's stores; these charges were split evenly between the buyer and seller and were paid in cash.

$$\begin{array}{r} 162 \\ \hline 2 \end{array} = 81 \rightarrow \text{buyer} \\ = 81 \rightarrow \text{seller}$$

Boot Hill returned 10 pairs of these boots to Texas Wholesale because they were the wrong style. Texas Wholesale agreed to accept this return and credit Boot Hill's account for the full invoice price. Boot Hill then paid the remaining balance within the discount period.

Both companies use perpetual inventory systems.

cost < sales
P800

INSTRUCTIONS

- Record this sequence of transactions in the general journal of Texas Wholesale Corporation. The company records sales at the full invoice price; these boots had cost Texas Wholesale \$32 per pair.
- Record this sequence of transactions in the general journal of Boot Hill. The company records purchases of merchandise at net cost and uses a Transportation-in account in recording transportation charges on inbound shipments.

SOLUTION TO DEMONSTRATION PROBLEM

General Journal

- Journal entries by Texas Wholesale Corporation:

Accounts Receivable (Boot Hill)		
Sales	5,000	5,000
Sold merchandise on account; terms, 2/10, n/30.		
Cost of Goods Sold	3,200	3,200
Inventory		
To record cost of merchandise sold (\$32/pr. x 100 pr.).		
Delivery Expense	81	81
Cash		
Paid delivery charges on outbound shipment.		
Sales Returns and Allowances		
Accounts Receivable (Boot Hill)	500	500
Customer returned merchandise with a sales price of \$500.		
Inventory		
Cost of Goods Sold	320	320
Reduce cost of goods sold for cost of returned merchandise (\$32/pr. x 10 pr.).		
Cash	4,410	4,410
Sales Discount	90	
Accounts Receivable (Boot Hill)		
Collected amount due from credit sale to Boot Hill, less \$500 return and less 2% cash discount on remaining \$4,500 balance (\$4,500 x 2% = \$90).		

- Journal entries by Boot Hill:

Inventory	4,900	4,900
Accounts Payable (Texas Wholesale Corp.)		
Purchased 100 pairs of boots on account; terms, 2/10, n/30. Net cost, \$49 cost, \$49 per pair (\$50, less 2%).		
Transportation-in	81	81
Cash		
Paid transportation charges in inbound shipment.		

CHAPTER 5 / ACCOUNTING FOR MERCHANDISING ACTIVITIES

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Accounts Payable (Texas Wholesale Corp.)	490	490
Inventory		
Returned 10 pairs of boots to supplier. (Net cost, \$49 per pair x 10 pairs = \$490.)		
Accounts Payable (Texas Wholesale Corp.)	4,410	4,410
Cash		
Paid within discount period balance owed to Texas Wholesale Corp. (\$4,900 - \$490 = \$4,410).		

SELF-TEST QUESTIONS

Answers to these questions appear on page 272.

- Mark and Amanda Carter own an appliance store and a restaurant. The appliance store sells merchandise on a 12-month installment plan; the restaurant sells only for cash. (More than one answer may be correct.)
 - The appliance store has a longer operating cycle than the restaurant.
 - The appliance store probably uses a perpetual inventory system, whereas the restaurant probably uses a periodic system.
 - Both businesses require subsidiary ledgers for accounts receivable and inventory.
 - Both businesses probably have subsidiary ledgers for accounts payable.
- Which of the following types of information are found in subsidiary ledges, but not in the general ledger? (More than one answer may be correct.)
 - Total cost of goods sold for the period.
 - The quantity of a particular product sold during the period.
 - The dollar amount owed to a particular creditor.
 - The portion of total current assets that consists of cash.
- The two basic approaches to accounting for inventory and the cost of goods sold are the perpetual inventory system and the periodic inventory system. Indicate which of the following statements are correct. (More than one answer may be correct.)
 - Most large merchandising companies and manufacturing businesses use periodic inventory systems.
 - As a practical matter, a grocery store or a large department store could not maintain a perpetual inventory system without the use of point-of-sale terminals.
 - In a periodic inventory system the cost of goods sold is not determined until a complete physical inventory is taken.
 - In a perpetual inventory system, the Cost of Goods Sold account is debited promptly for the cost of merchandise sold.
- Pisces Market presently has current assets totaling \$300,000 and a current ratio of 2.5 to 1. Compute the current ratio immediately after Pisces pays \$30,000 of its accounts payable.
 - 3 to 1
 - 3.33 to 1
 - 2.2 to 1
 - 2.25 to 1

General Journal

Accounts Titles and Explanation	LP	Debit	Credit
Inventory.....			
Accounts Payable (Puccl, Inc.).....	✓/130	2,500	
Purchased 50 shoulder bags from Puccl, Inc., @ \$50; payment due in 30 days.	✓		2,500
Cash.....			
Accounts Receivable (The Bag Man).....	101	6,000	
Collected an account receivable.	105		6,000

- INSTRUCTIONS**
- Based upon the posting references shown, explain in detail the accounts to which the debit and credit portions of each journal entry apparently have been posted.
 - Does it appear that the posting of each entry has been completed properly? Explain. (Assume that illustrated account numbers are correct.)

EXERCISE 5-5
Perpetual
Inventory
System

Caliente Products uses a perpetual inventory system. On January 1 the Inventory account had a balance of \$93,500. During the first few days of January the following transactions occurred:

- Jan. 2 Purchased merchandise on credit from Bell Company for \$12,500.
 Jan. 3 Sold merchandise for cash, \$9,000. The cost of this merchandise was \$6,300.

- INSTRUCTIONS**
- Prepare entries in general journal form to record the above transactions.
 - What was the balance of the Inventory account at the close of business January 3?

EXERCISE 5-6
Taking a Physical
Inventory

Electronics Warehouse uses a perpetual inventory system. At year-end, the Inventory account has a balance of \$314,000, but a physical count shows that the merchandise on hand has a cost of only \$307,500.

- INSTRUCTIONS**
- Explain the probable reason(s) for this discrepancy.
 - Prepare the journal entry required in this situation.
 - Indicate all the accounting records to which your journal entry in part b should be posted.

EXERCISE 5-7
Periodic
Inventory
System

Hanson's Gift Shop uses a periodic inventory system. At the end of 1994, the accounting records include the following information:

Inventory, December 31, 1993.....	\$ 6,700
Inventory, December 31, 1994.....	4,400
Net sales.....	160,400
Purchases.....	81,500

- INSTRUCTIONS**
- How were the amounts of beginning and ending inventory determined?
 - Compute the amount of the cost of goods sold in 1994.
 - Prepare a partial income statement showing the shop's gross profit in the year.

amount collected from the customer and ring up the entire amount on the cash register without recording separately the tax liability. On credit sales, the customer is charged for the list price of the merchandise plus 5%, and the entire amount is debited to Accounts Receivable and credited to the Sales account. On sales of less than one dollar, the tax collected is rounded to the nearest cent. Sales tax must be remitted to the government quarterly. At March 31 the Sales account showed a balance of \$326,025 for the three-month period ended March 31.

INSTRUCTIONS

- a What amount of sales tax is owed at March 31?
- b Give the journal entry to record the sales tax liability in the accounting records.

✓ PROBLEMS

Note: This chapter contains an unusually wide variety of problem assignments. In order to make all of these problems readily available to all users of the text, we present them in *one consecutive series*, rather than splitting them into A and B groups. This series is supported in *both* the Group A and Group B packages of accounting work sheets.

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Indian Lake Lumber Company is the only lumberyard in Beaumont, a remote mountain town and popular ski resort. Some of Indian Lake's transactions during 1994 are as follows:

* **Supplemental Topic, "Additional Merchandising Transactions"**

- Nov. 5 Sold lumber on account to Dally Construction Company, \$38,400. The inventory subsidiary ledger shows the cost of this merchandise to Indian Lake was \$22,950.
- Nov. 9 Purchased lumber on account from Pine Valley Mill, \$104,000.
- Dec. 5 Collected in cash the \$38,400 account receivable from Dally Construction Company.
- Dec. 9 Paid the \$104,000 owed to Pine Valley Mill.
- Dec. 31 Company personnel counted the inventory on hand and determined its cost to be \$964,360. The accounting records, however, indicate inventory of \$975,130 and a cost of goods sold of \$3,217,130. The physical count of the inventory was observed by the company's auditors and is considered correct.

975,130
(964,360) ?

COGS inventory 1910 ?

INSTRUCTIONS

- (a) Prepare journal entries to record these transactions and events in the accounting records of Indian Lake Lumber Company. (The company uses a perpetual inventory system.)
- (b) Prepare a partial income statement showing the company's gross profit for the year. (Net sales for the year amount to \$4,966,000.)
- (c) Indian Lake purchases lumber at the same wholesale prices as other lumber companies. Due to its remote mountain location, however, the company must pay between \$90,000 and \$100,000 per year in extra transportation charges to receive delivery of its purchased lumber. (These additional charges are included in the amount shown as cost of goods sold.)

Assume that an index of key business ratios in your library shows retail lumberyards of Indian Lake's approximate size (in total assets) average net sales of \$5,000,000 per year and a gross profit rate of 27%.

Is Indian Lake Lumber Company able to pass its extra transportation costs on to its customers? Does the company appear to suffer or benefit financially from its remote location? Explain your reasoning and support your conclusions with specific accounting data comparing the operations of Indian Lake Lumber Company with the industry averages.

Sales 4,966,000
Less COGS (?)
Gross profit

COGS: 3,217,130
Add 22,950
Inventory 3,240,080

PROBLEM 5-2
Perpetual Inventory System and an Inventory Subsidiary Ledger

Facts-by-FAX sells facsimile machines, copiers, and other types of office equipment. On May 10, the company purchased for the first time a new "plain-paper" fax manufactured by Mitsui Corporation. Transactions relating to this product during May and June were as follows:

- May 10 Purchased five P-500 facsimile machines on account from Mitsui Corporation, at a cost of \$540 each. Payment due in 30 days.
- May 23 Sold four P-500 facsimile machines on account to Foster & Cole, stockbrokers; sales price, \$900 per machine. Payment due in 30 days.
- May 24 Purchased an additional nine P-500 facsimile machines on account from Mitsui. Cost, \$540 per machine; payment due in 30 days.
- June 9 Paid \$2,700 cash to Mitsui Corporation for the facsimile machines purchased on May 5.
- June 19 Sold two P-500 facsimile machines to Tri-State Realty for cash. Sales price, \$950 per machine.
- June 22 Collected \$3,600 from Foster & Cole in full settlement of the credit sale on May 23.

INSTRUCTIONS

- a Prepare journal entries to record these transactions in the accounting records of Facts-by-FAX. (The company uses a perpetual inventory system.)

✓
PROBLEM 5-10
Merchandising
Transactions—
A Short Com-
prehensive
Problem

Riviera Fashions, a wholesaler, regularly sells merchandise on account to Caroline's, a chain of retail stores. Among the transactions between these companies are the following:

- Mar. 3 Sold 1,000 cashmere sweaters to Caroline's on account, terms, 2/10 n/30. These sweaters had cost Riviera Fashions \$32 each; the sales price to Caroline's was \$50 per sweater.
- Mar. 5 Caroline's returned 100 of the sweaters because they were the wrong color. Riviera Fashions always allows such returns.
- Mar. 13 Caroline's paid within the discount period the remaining amount owed to Riviera Fashions, after allowing for the purchase return on Mar. 5.

Both companies use perpetual inventory systems. Caroline's records purchases of merchandise at *net cost*.

INSTRUCTIONS

- a. Prepare journal entries to record these transactions in the accounting records of Riviera Fashions.
- b. Prepare journal entries to record these transactions in the accounting records of Caroline's.
- c. Assume that Caroline's had not paid the remaining balance of its account payable to Riviera Fashions until April 2. Record this payment after the discount period in:
 - 1 The accounting records of Riviera Fashions.
 - 2 The accounting records of Caroline's.

CASES AND UNSTRUCTURED PROBLEMS

Always Fresh is a fish market operating on the pier in Santa Teresa Harbor; it sells fresh fish by the pound, and also fish sandwiches. All sales are made for cash. Every day, the market buys for cash a few hundred pounds of "whatever looks best" directly from incoming fishing boats. At closing time, it sells any leftover inventory to Best Friend, a cannery that makes pet food.

- a Would Always Fresh benefit from using a perpetual inventory system? Explain.
- b Briefly discuss the company's needs (if any) for subsidiary ledgers for inventory, accounts receivable, and accounts payable.
- c Describe accounting procedures for recording purchases and sales which you believe will efficiently meet this company's needs.

5-1
 t Informa-
 Is Really
 led?